

better myself.”

The next stock Flint sees is Sears. The current price is $\$34\frac{7}{8}$ and the original price was \$25. “Excellent,” he exclaims to Doggle. Fortunately for Doggle there is no date attached to these purchases, so Flint never realizes that Xerox and Sears have been in the portfolio since 1967, when bell-bottom pants were the national rage. Given how long Xerox has been sitting there, the return on equity is worse than it would have been in a money-market fund, but Flint doesn’t see that.

Then Flint moves along to Seven Oaks International, which happens to be one of my all-time favorite picks. Ever wonder what happens to all those discount coupons—fifteen cents off Heinz ketchup, twenty-five cents off Windex, etc.—after you clip them from the newspapers and then turn them in at your supermarket checkout counter? Your supermarket wraps them up and sends them off to the Seven Oaks plant in Mexico, where piles of coupons are collated, processed, and cleared for payment, much as a check is cleared through the Federal Reserve banks. Seven Oaks makes a lot of money doing this boring job, and the shareholders are well-rewarded. It’s exactly the kind of obscure, boring, and highly profitable company with an inscrutable name that I like to own.

Flint has never heard of Seven Oaks, and the only thing he knows about it is what he sees on the record—it was bought for the fund at \$10 a share, and now it’s selling for \$6. “What’s this?” Flint inquires. “It’s down forty percent!” Doggle has to spend the rest of the meeting defending this one stock. After two or three similar episodes, he vows never to buy another off-beat company and to stick to the Xeroxes and the Searses. He also decides to sell Seven Oaks at the earliest opportunity so that the memory of it will be expunged forever from his list.

Reverting to “group think,” and reminding himself that it’s safer to pick companies in a crowd, he ignores the words of wisdom that came either from Aeschylus the playwright, Goethe the author, or Alf, the TV star from outer space:

Two’s a company, three’s a crowd

Four is two companies

Five is a company and a crowd

Six is two crowds

Seven is one crowd and two companies

Eight is either four companies or two crowds and a company

Nine is three crowds

Ten is either five companies or two companies and two crowds